ASX to drop despite high hopes for earnings season

Equities

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Investors expect a bumper half-year reporting season, hoping for a string of earnings upgrades in a wave of optimism caused by improving economic conditions and anticipation that interest rates will be cut.

The Australian sharemarket has largely anticipated that the market-wide earnings downgrades cycle that impacted ASX-listed companies the past few years has come to an end, having rallied 3.8 per cent this year as traders look forward to a better year for corporate profits.

The strong performance has been buoyed by recent data showing a slowdown in inflation and hopes that the Reserve Bank of Australia will embark on an easing cycle at its board meeting on February 18.

Despite the optimism, the benchmark S&P/ASX 200 Index is poised to open 0.8 per cent – or 64 points – lower today after Wall Street slumped at the end of last week. Markets in New York fell on Friday after the release of disappointing employment figures showed 143,000 jobs were created in January, well below the 170,000 expected. That could take a March rate cut from the US Federal Reserve off the table.

Today investors in Australia will see financial updates from gloves manufacturer Ansell, online vehicle marketplace CAR Group and JB Hi-Fi, one of the largest electronics retailers in the country. The most important update will be from the Commonwealth Bank on Wednesday, with the country's biggest bank an important indicator for the broader economy.

Investment firm Ten Cap chief executive Jason Todd said he anticipated a solid earnings season as the economy improved over the past six months. He also said he expected companies to report an improvement in margins as pressure to increase wages amid higher inflation moderated.

Mr Todd, an equity strategist by trade, also said a weak Australian dollar meant ASX-listed companies with overseas exposure were more likely to report mark-to-market earnings upgrades and a positive outlook.

"The weaker Australian dollar is another positive tailwind we think will ultimately be coming through in the reporting season. We know there'll be mark-to-market upgrades coming," he said.

The Australian dollar has fallen more than 9 per cent from a peak of US69¢ in September to US62.64¢. Most analysts have yet to adjust their earnings forecast to account for the slide, which accelerated after Donald Trump's decisive victory in the US presidential election in November.

Brokers at UBS told clients a market-wide earnings downgrade cycle had largely "exhausted itself". They tipped companies to publish more bullish earnings forecasts over the next six months as they calculate the impact of rate cuts, which will leave consumers with more to spend.

Even so, the investment bank said it expected the profits of companies in the ASX 200 to grow by just 0.2 per cent this financial year, making a third stagnant year for profits.

ECP Asset Management portfolio manager Andrew Dale also forecasts that there will be more earnings upgrades than downgrades this reporting season. Mr Dale said the market had performed strongly as it was "expecting a pretty positive set of numbers for a lot of companies".

Even so, he said the companies needed to deliver good results to justify their valuations, which he described as "a bit stretched".

Like Mr Todd, he said he expected the weak Australian dollar to be reflected in the earnings outlooks of companies. "Companies might talk to the currency and their guidance for the next six months. There's likely going to be more currency tailwinds than there has been before," he said.

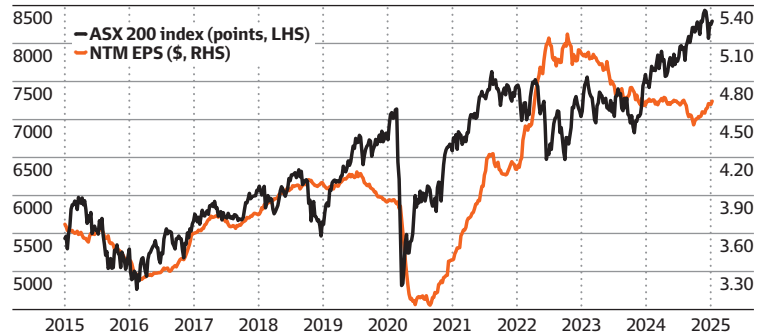
While some money managers have said market expectations for the consumer discretionary sector were far too low, others such as Yarra Capital have remained cautious about retailers, alluding to data showing consumer confidence has been slow to pick up.

"I think consumer discretionary is going to end up being really company-specific. I have concerns that people are probably too excited about the benefit from rate cuts," said Yarra's head of Australian equities, Dion Hershan.

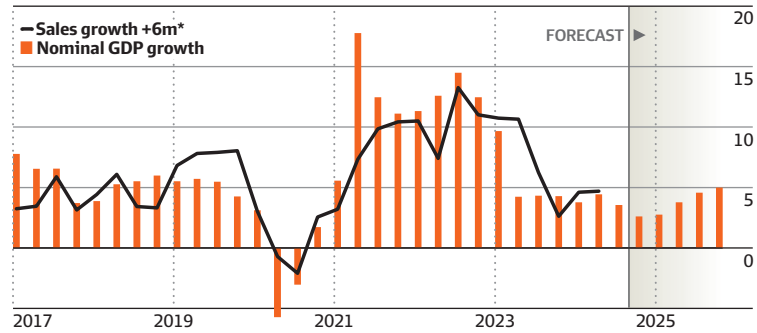
"We've had about a dozen rate hikes and one cut is not going to make a huge difference." Mr Hershan expects an "unforgiving" reporting season. "What we're seeing is very amplified responses to results."

The week ahead

ASX 200 and NTM earnings estimate



Australian GDP growth v sales growth (%)



* ASX 200 ex-resources and ex-financials

SOURCE: FOREX, UBS

MONDAY	TUESDAY	WEDNESDAY	THURSDAY	FRIDAY
Japan Bank lending	**EU** ECB president Christine Lagarde speaks **Japan** Public holiday **AU** NAB business confidence **UK** Govenor Andrew Bailey speaks	**US** Fed chairman Jerome Powell testifies	**US** Fed chairman Jerome Powell testifies; crude oil inventories	**US** Jobless claims